was then 30 years old. I also had a misfortune for about eight years of a helpless stay in New Delhi (1982 -1989) as electronics advisor to former Prime Minister Rajiv Gandhi. So I knew how New Delhi worked. The move to scrap industrial licensing, and allow imports with WTO-prescribed small duties, however, made the trader community very happy.

Plane loads were making frequent visits to China and flooding our markets. Interestingly, India was known in China as a cheap-goods buyer with no concern for quality. Consumers were also happy since they got imported, attractively-packed products with multiple choices.

Politicians and bureaucrats who adopted the new economic policies did not realise that in the process the country had almost completely stopped creating real wealth through value addition.

There were better ways to drop industrial licensing and use it for strengthening the manufacturing industry in the country. I had done so in 1983 by successfully persuading former Prime Minister Indira Gandhi to abandon industrial licensing for the consumer electronics sector. But I had taken the essential precautions that were not taken by the government in 1991.

With that policy change, we attracted fresh investments to set up new manufacturing industries, and used that to make market competitive, gave choices to consumers, helped improve product quality due to increased competition and made product prices more competitive. Many new television brands such as BPL, Sharp, Videocon, Onida, Uptron, HC and ET&T were competing with Samsung and Philips, and some grew bigger than these foreign brands.

We were successful in increasing value addition many fold by allowing many new industries to start. Sector employment grew ten folds by 1988. Records clearly show that manufacturing output of consumer electronics and its sales grew amazingly—eight times in the six years that I was with Rajiv Gandhi till he lost the 1989 general elections in December that year.

This successful model of encouraging local manufacturing by removing industrial licensing was completely ignored. My dear friend, late Dr Abid Hussain, a renowned Indian economist and India's ambassador to the USA from 1990 to 1992, often felt sorry that our model was ignored.

In the USA, Nixon changed the game in early 1970s

The story in the USA is no different from India, as they too ignored the policy to grow its national economy through high local value addition. Former US President Richard Nixon, along with large multinationals, saw great profits by shifting production to low-cost countries in the East. He even went to China to woo former chairman of the Communist Party of China, Mao Zedong, and use their lowest-cost bonded labour with guaranteed industrial peace. Nixon administration allowed multinationals to outsource everything possible; first to Taiwan and South Korea and then to Mao's communist China. The US government, persuaded by multinationals, even gave up its deep hatred for communism. Money, thus, overpowered that country's morals. China's cheapest labour was important for the profit-mongering multinationals.

Americans are no match to Chinese when it comes to looking far. China used this golden opportunity to get their people free training in modern material processes, high-quality production and variety of hi-tech insights. In the process China, Taiwan and South Korea got for free every kind of material and process technologies. Engineering knowhow of every kind came their way completely free of cost. South Koreans, Taiwanese and Chinese not only absorbed these skills and knowledge like a dry sponge, today the Chinese are adding their own innovation and enterprise. China is now mighty, self-sufficient and has a good work culture for achieving its technological supremacy.

One can see how the life in the USA has progressively changed dramatically since the early 1970s. President Nixon was responsible for slowly killing that country's manufacturing industry, SMEs and jobs. The then American businesses gave huge personal credits and loans in place of salaries and made its people lazy and greedy shoppers. Money was made the centrepiece of American life. Printing Dollar bills took care of the economy. Thus, the USA completely moved away from the value-added economy, except for manufacturing arms, military gear and other selected areas.

If Nixon is given credit for enforcing service economy in the USA, in India it should go to Dr Singh, who was India's economic and political boss for most of the last 25 years. During that time, Indian National Congress abandoned its left-leaning economic postures and took to capitalism. It promoted consumerism for fast GDP growth. Poverty removal just remained a slogan as its leaders took to easy ways to get their clan rich.

The new US President who took over in January has his mandate on the promise of rebuilding country's manufacturing industry and recreate the jobs lost during the last decades.

The world is realising that creating real wealth through local value addition is the right way for national development, since value-added economic growth involves a much larger number of people, especially the poor and the middle class. EFY